

Korea Internet and European Food Delivery

Korea Food Delivery: A stable duopoly with fragile fault lines



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Baemin and Coupang Eats are pivoting from bleeding rider subsidy-driven land grab to disciplined monetization, prioritizing paid features and higher-margin ads over blanket discounts. As a result, Korea's food delivery market is stabilizing. However, the structure is not fully locked in - regulatory pressure on Coupang and any strategic move around Baemin's ownership could still meaningfully reshape competitive dynamics across both delivery and broader commerce.

GTV share stabilizing after rider subsidy war. Baemin and Coupang Eats' GTV split has settled at roughly 65:35 since January 2026, following the Coupang data leakage incident. As Coupang shifts its strategic focus back to product commerce, pricing discipline has returned: rider incentives have normalized to 2K - 4K KRW per order from peak levels of 4K - 10K. At the same time, support via Wow membership - once a key lever supporting per-order economics - has been scaled back, weakening the subsidy-led share push for Eats. In response, Coupang Eats is accelerating its transition into ads, building a performance marketing engine and tapping its broader commerce ecosystem to grow sponsored listings.

Next leg of growth: Quick commerce. With structural constraints outside Seoul, weaker per-order economics, and fading subsidy tailwinds, Coupang is turning to quick commerce as its next growth driver. Baemin, an early mover since COVID, already generates about 15% of revenue (c.780Bn KRW) from quick commerce per filings. Coupang is now ramping up with 24-hour delivery in partnership with CVS operators ([Link](#)). Looking ahead, partnerships across food delivery and product commerce platforms could become a key lever in capturing the next wave of quick commerce growth.

Government vouchers favor Baemin. A nationwide fuel relief program (KRW 3.7tn distributed as vouchers, as of May 21) is set to lift demand for Baemin. Because vouchers can be used for in-person payments, Baemin stands to benefit disproportionately in May till August. Crucially, these subsidies apply to Baemin but not Coupang Eats, setting up a near-term GTV share tailwind.

KFTC overhang as key downside risk. The main downside risk for Coupang is regulatory. Coupang's Wow membership - a core driver of retention and cross-sell - is under scrutiny for potential anti-competitive bundling across services. Outcomes could range from fines to forced unbundling or pricing restrictions, undermining ecosystem synergies. Coupang may preempt this with a workaround, such as free Eats delivery for non-Wow users ([Link](#)).

Naver seeking partnership? Competitive intensity is picking up, with multiple local media signaling a potential shift in the landscape. In a May 19 filing, Naver said it is "reviewing various options to strengthen competitiveness" in response to reports of a possible Baemin acquisition, while noting "nothing has been decided." ([Link](#)). With around KRW 8tn in net cash, Naver has ample firepower to accelerate strategy, and we expect Naver to create a credible path to narrow Coupang's moat, particularly in fast shipping and cross-selling. From the perspective of DHER, the group is currently undergoing a strategic review which should result in the disposal of some assets. From the perspective of the Korean Food Delivery market should a strategic optionality around Baemin ever be considered, investors may naturally look to ecosystem players with strong cross-selling capabilities.

BERNSTEIN TICKER TABLE

			21 May 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
CPNG (Coupang)	U	USD	15.73	15.00	(69.9)%	USD	0.10	(0.13)	0.30	158.7	(122.5)	52.6
035420.KS (Naver)	O	KRW	199,200	290,000	(31.5)%	KRW	13,065	12,745	14,815	15.2	15.6	13.4
DHER.GR (Delivery Hero)	O	EUR	33.06	28.00	16.3%	EUR	(2.62)	(2.90)	(2.52)	0.9	0.8	0.8
SPX			7,445.72									
ASIAX			1,924.46									
EDME			1,536.79									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

DHER.GR valuation is EV/Sales (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We have an **Underperform** rating on **Coupang** and **Outperform** rating on **Naver**. We reiterate our core industry thesis that competition dictates margins. Competitive intensity is rising, with e-commerce players increasingly pursuing partnerships to strengthen their ecosystems, lock in users, and build a frequency-driven flywheel. Any such partnerships have the potential to reshape both the e-commerce and food delivery markets in Korea.

We have an **Outperform** rating on **DHER**.

VALUATION COMPS TABLE

EXHIBIT 1: Asia Internet: valuation summary

	Rating	Price target	Last price	Crcncy	Market cap (US\$mn)	2026E	PE 2027E	2028E	2026E	EV/sales 2027E	2028E
China Internet coverage											
Tencent	O	780	455.20	HKD	529,869	13.4x	11.6x	10.1x	4.4x	3.8x	3.4x
PDD	M	132	98.15	USD	139,706	8.2x	7.4x	6.6x	0.9x	0.6x	0.4x
Meituan	M	85	82.85	HKD	65,308	n.a.	23.6x	12.4x	1.0x	0.9x	0.7x
NetEase	O	150	116.82	USD	74,546	13.5x	12.1x	11.2x	3.2x	2.8x	2.6x
Boss Zhipin	M	16.5	14.07	USD	6,802	11.4x	9.7x	8.6x	2.5x	1.9x	1.4x
JD	O	40	32.46	USD	44,335	10.5x	7.7x	5.8x	0.2x	0.2x	0.2x
Alibaba	O	180	134.47	USD	322,612	31.1x	21.8x	19.2x	2.2x	2.0x	1.8x
China Internet other											
Kuaishou			47.68	HKD	26,401	10.6x	9.3x	8.3x	1.1x	1.0x	1.0x
Bilibili			18.30	USD	7,778	17.8x	14.0x	10.8x	1.2x	1.1x	1.0x
TME			9.15	USD	15,203	9.6x	8.7x	8.0x	2.0x	1.8x	1.7x
iQiyi			1.10	USD	1,062	193.9x	5.8x	3.5x	0.6x	0.5x	0.5x
Baidu			135.22	USD	46,009	17.0x	14.8x	12.1x	1.5x	1.4x	1.3x
VIPshop			14.22	USD	6,829	5.5x	5.2x	5.0x	0.3x	0.3x	0.2x
Tencent Music			9.15	USD	15,203	9.6x	8.7x	8.0x	2.0x	1.8x	1.7x
Trip.com			48.56	USD	30,578	11.9x	10.5x	9.2x	2.4x	2.1x	1.9x
KE Holdings			18.07	USD	21,094	21.6x	18.5x	17.6x	1.3x	1.2x	1.1x
Asian Internet											
Naver	O	290,000	192,400	KRW	20,161	15.1x	13.0x	11.3x	1.4x	1.1x	0.9x
Kakao	O	80,000	40,250	KRW	11,875	26.5x	21.7x	16.6x	1.4x	1.1x	0.9x
Hybe	O	400,000	228,000	KRW	6,564	22.4x	19.6x	17.2x	1.9x	1.9x	1.8x
Coupang	U	15	15.62	USD	28,039	-121.7x	52.2x	31.1x	0.6x	0.6x	0.5x
Sea Ltd.			86.55	USD	53,011	24.0x	17.6x	14.1x	1.5x	1.3x	1.1x
Grab			3.51	USD	14,393	34.8x	22.9x	16.9x	2.5x	2.0x	1.7x
US Internet											
Amazon			265.01	USD	2,850,742	25.7x	22.7x	18.3x	3.6x	3.1x	2.8x
Alphabet			388.91	USD	4,688,479	27.0x	25.5x	21.2x	11.0x	9.2x	7.7x
Meta			605.06	USD	1,535,898	17.5x	15.8x	13.1x	6.1x	5.1x	4.4x
Netflix			88.09	USD	370,929	24.7x	22.8x	19.2x	7.3x	6.5x	5.9x
Uber			74.60	USD	151,856	22.5x	16.6x	13.6x	2.7x	2.4x	2.1x
Spotify			433.32	USD	89,191	29.0x	23.7x	19.7x	3.5x	3.1x	2.7x
DoorDash			160.73	USD	70,033	32.9x	23.8x	18.0x	3.8x	3.2x	2.7x

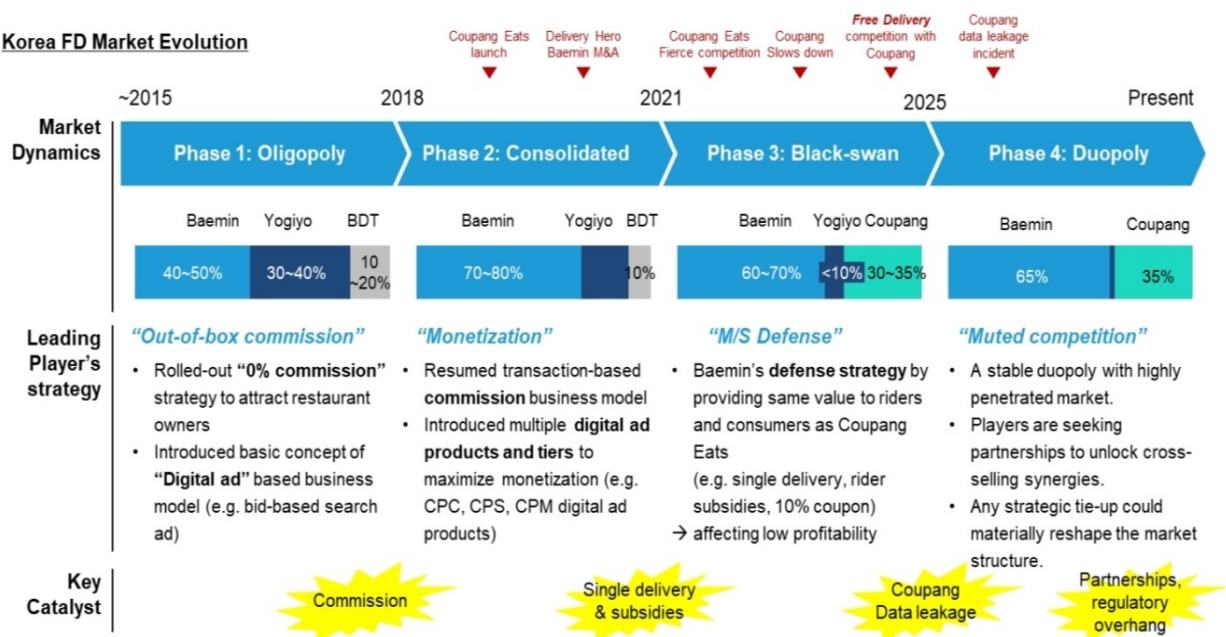
Pricing date May 20, 2026. The valuation multiples of our China and Asian Internet coverage are based on Bernstein estimates; the other companies shown reflect Bloomberg consensus estimates.

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

DETAILS

EXHIBIT 2: Korea's food delivery market is stabilizing, but regulatory risks around Coupang and any shift in Baemin's ownership could still reshape competition.

Korea FD Market Evolution

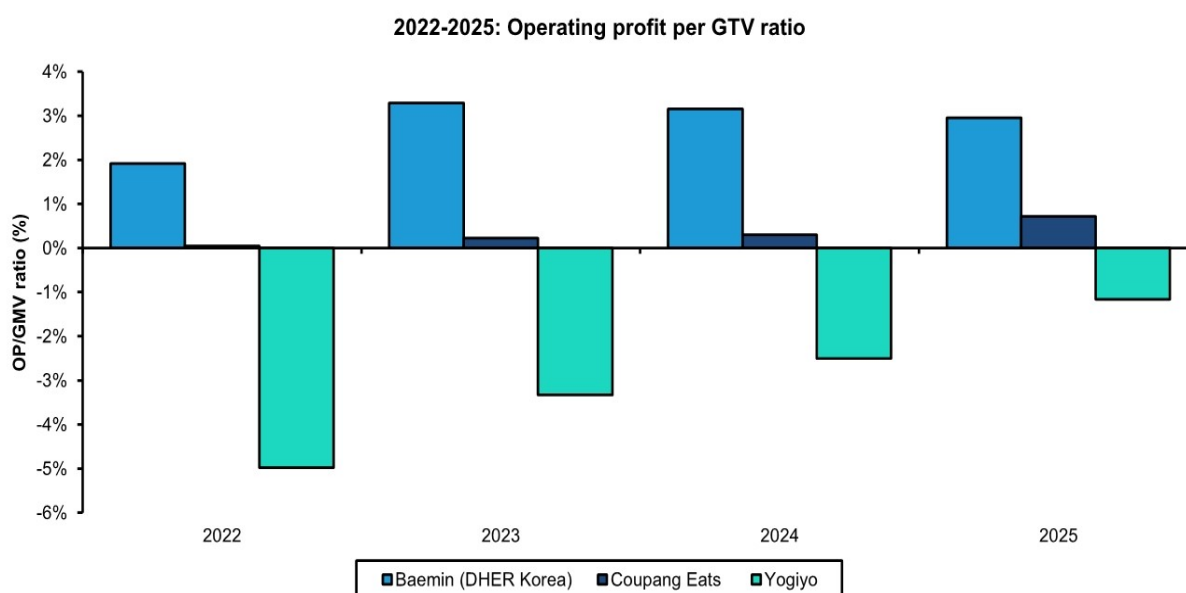


Note 1. Delivery Hero acquisition of Baemin confirmed in Dec 2019 and completed in Mar 2021.

Note 2. Delivery Hero required to sell Yogiyo by Fair Trade Commission in Dec 2020 and completed divestiture in Oct 2021.

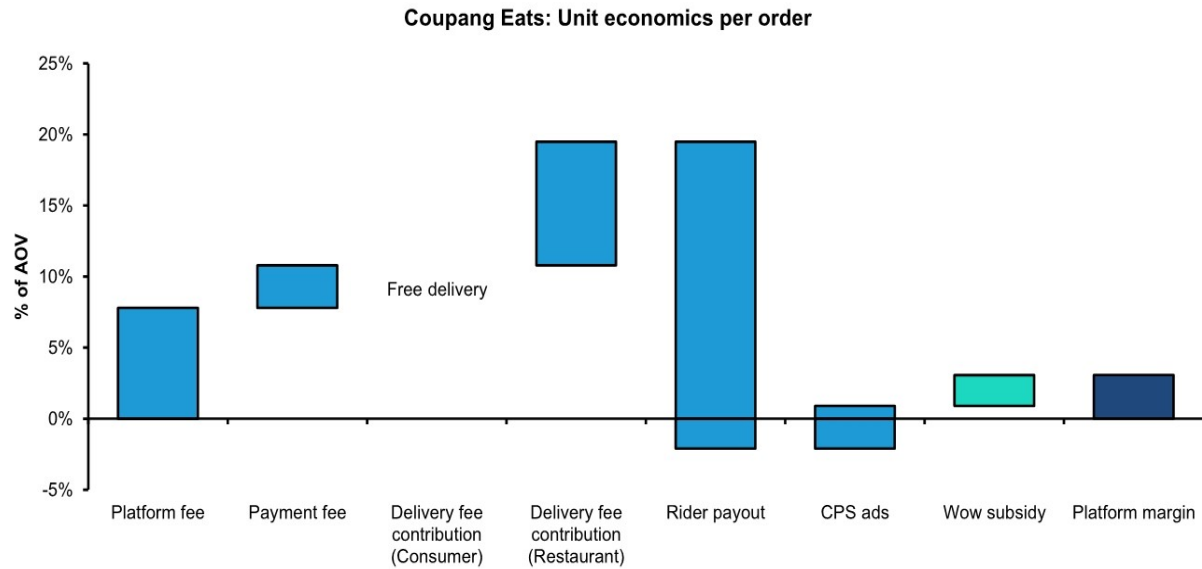
Source: Corporate reports, Expert interview, Wiseapp, Bernstein analysis.

EXHIBIT 3: Intense rider subsidy competition has compressed per-order profitability in Korea's food delivery market from 2023.



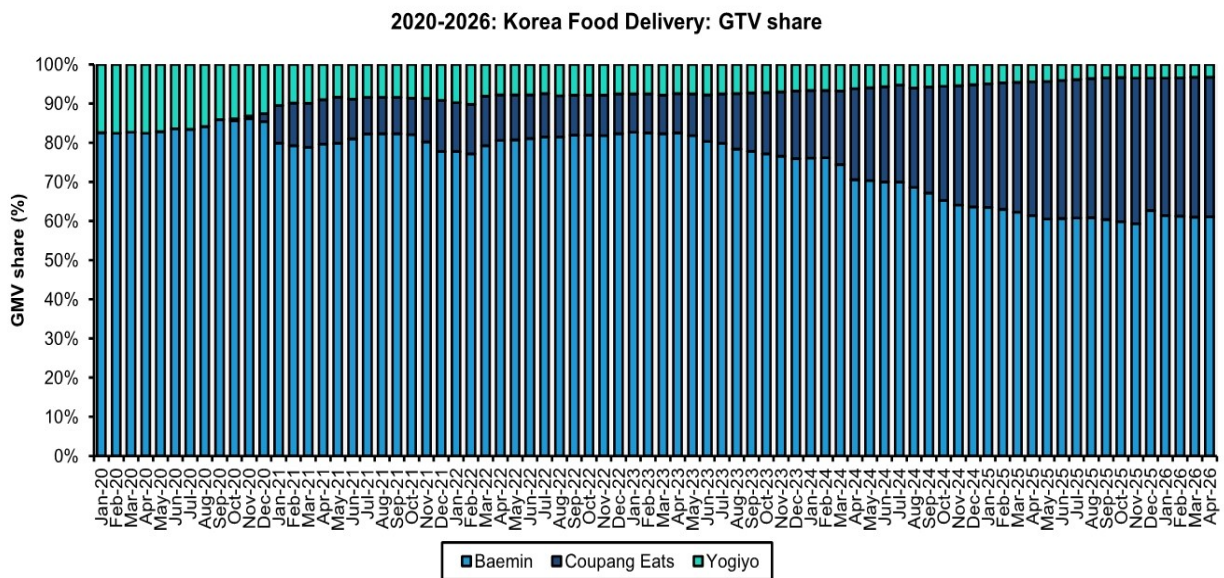
Source: Corporate reports, DART, Wiseapp, Bernstein analysis.

EXHIBIT 4: Coupang Eats' subsidy-driven share gains are fading as support from Wow membership - once key to per-order economics - is scaled back.

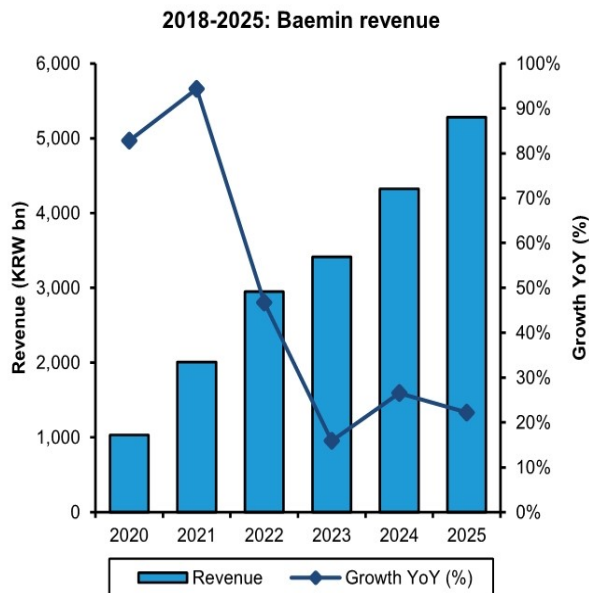


Source: Corporate reports, Bernstein estimates and analysis.

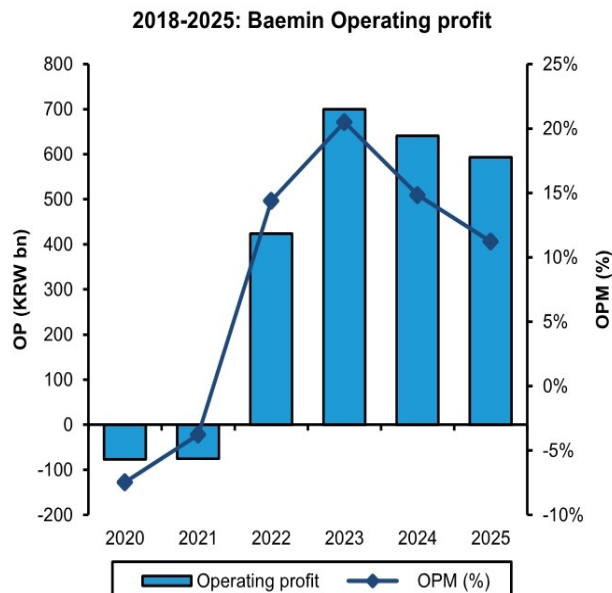
EXHIBIT 5: The food delivery market in Korea looks increasingly stable post Coupang data leakage incident in November 2025.



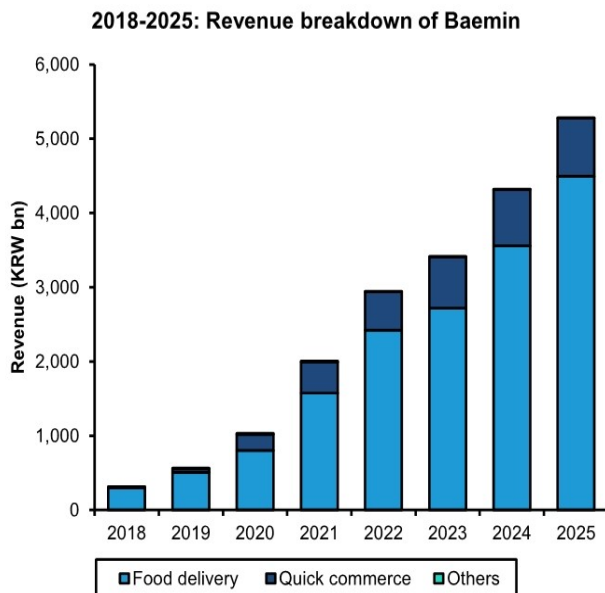
Source: Wiseapp, Bernstein analysis.

EXHIBIT 6: Baemin's revenue growth rate has been decelerated...

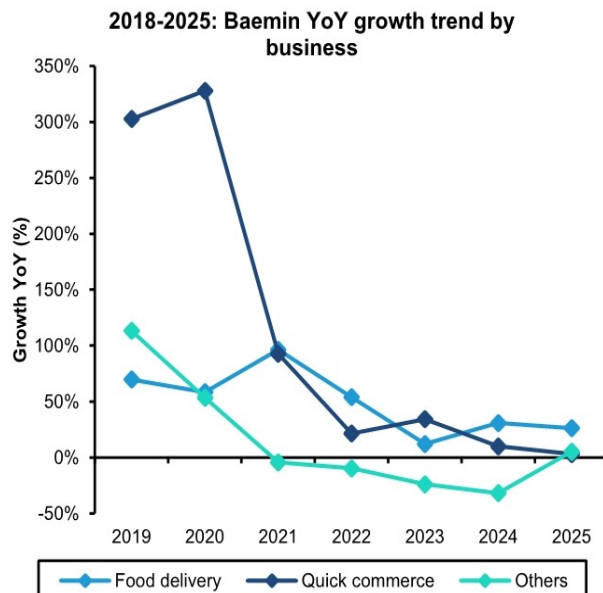
Source: Corporate reports, DART, Bernstein analysis.

EXHIBIT 7: ... Baemin margin has been under pressure with the Coupang competition.

Source: Corporate reports, DART, Bernstein analysis.

EXHIBIT 8: Baemin, an early mover since COVID, already generates about 15% of revenue from quick commerce.

Source: Corporate reports, DART, Bernstein analysis.

EXHIBIT 9: We see potential for quick commerce to regain growth momentum as the focus of food delivery shifts.

Source: Corporate reports, DART, Bernstein analysis.

EXHIBIT 10: **Coupang Eats has gained revenue momentum by capturing incremental share from Baemin.**

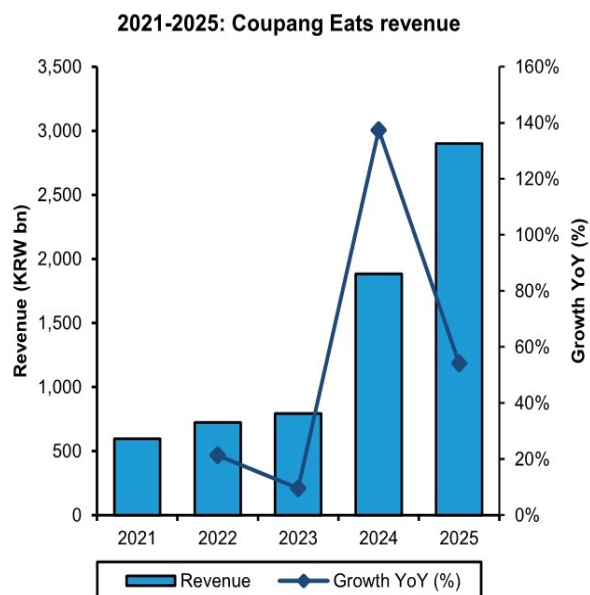
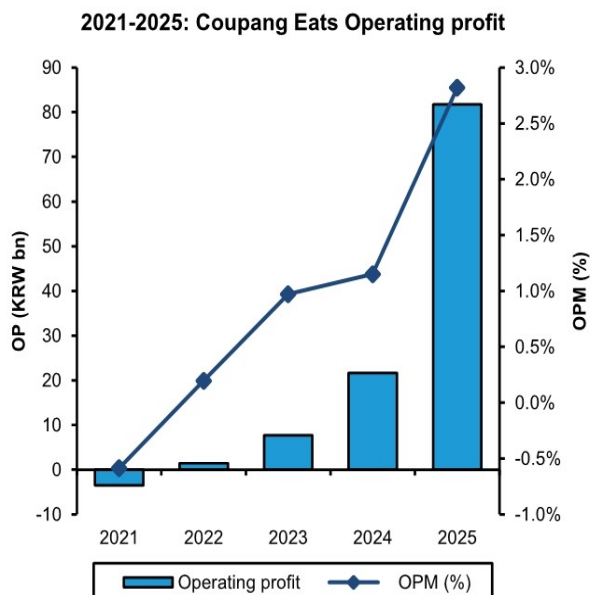


EXHIBIT 11: **Coupang Eats' margins improved in 2025, supported by a period of subdued competition.**



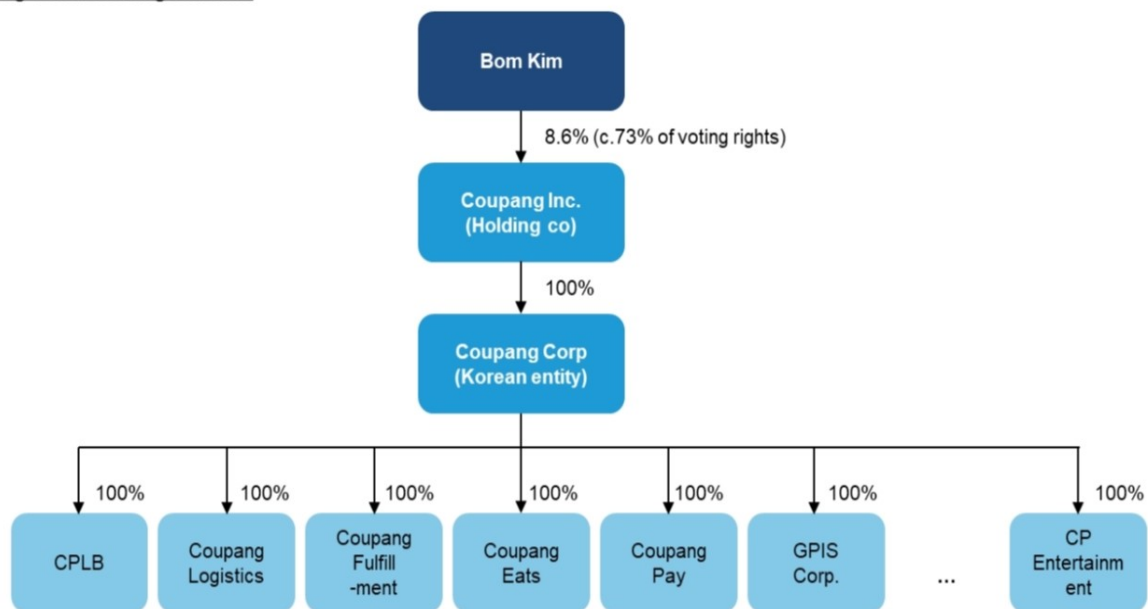
Source: Corporate reports, DART, Bernstein analysis.

Source: Corporate reports, DART, Bernstein analysis.

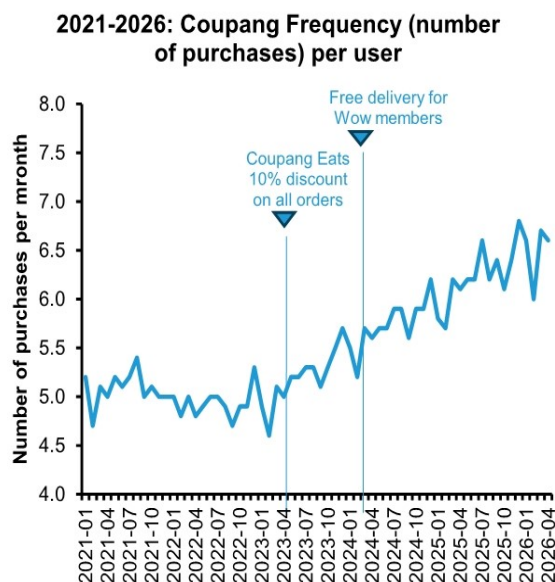
EXHIBIT 12: **Looking ahead, partnerships across food delivery and product commerce platforms could become a key lever in capturing the next wave of quick commerce growth.**

Domestic E-Commerce Players								
Coupang			"Quick Commerce"					
coupang			NAVER	Kurly	BAE MIN	COU	LOTTE Mart	Homeplus
							GS THE FRESH	
Core Category	All Products	All Products	Grocery	Grocery	All Products	Grocery	Grocery	Grocery
One-day Delivery (24h)	✓	✓	✓	✗	✗	✓	✓	✓
Dawn Shipping (<12h)	✓	✓ (Grocery category only)	✓	✗	✗	✗	✗	✗
Hyper-fast Shipping (<6h)	✗	✗	✗	✓	✓	✓	✓	✓

Source: Company Websites, Bernstein analysis.

EXHIBIT 13: The Korean FTC's designation of founder Bom Kim as the "same person" for Coupang, announced on April 29, 2026
Coupang's shareholding structure


Source: KFTC, Bernstein analysis.

EXHIBIT 14: The ongoing KFTC investigation into Coupang's Wow membership bundling, especially the tie between core Product Commerce and Coupang Eats, is a central regulatory swing factor.


Source: Wiseapp, Bernstein analysis.

EXHIBIT 15: Coupang's FTC investigation regarding its Wow membership bundling remains ongoing.

Case/ Issue Type	Overview/ Allegation	Government reaction/ KFTC decision	Coupang Status
Massive data breach & consumer protection issues (Late 2025-present)	Leak of personal information from 33 million customer account, raising concern on consumer data protection obligations in e-commerce with KFTC authority implicated under Act on Consumer Protection in E-Commerce	Government formed an interagency task force; KFTC has authority to investigate and can order temporary suspension of the company's operations under a task protection law, but still considering prerequisites and has not announced a final sanction.	Coupang has acknowledged the breach; is cooperating with regulators under a task force.
Algorithm manipulation & PB self-preferencing (2024-present)	Alleged manipulation of search rankings to favor Coupang private label (PB) and 1P products over 3P products.	KFTC imposed a record fine, Coupang 140 bn KRW, ordered cessation of PB favoritism and fake review activities.	Coupang appealed the fine and correction order in court; has not fully implemented required fixes pending litigation outcome.
Wow membership bundling (2023-present)	Investigation into whether Coupang Rocket Delivery, Coupang Eats food delivery and Coupang Play OTT streaming into a single Wow membership fee constitutes abuse of market power or illegal tying that may foreclose competitors' services.	KFTC has conducted an on-site investigation at Coupang HQ and is examining application of abuse-of-dominance or tying provisions; the case is being reviewed alongside other digital platform consent-order cases, but no fine or formal corrective order announced yet.	Coupang continues to operate Wow membership. Any structural changes will depend on the KFTC's decision or consent-order resolution.

Source: Corporate reports, Bernstein analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Coupang Inc**

We have valued Coupang at a price target of USD 15 based on a DCF valuation method, implying one year forward PER of 45x (Q2 2027-Q1 2028). (DCF assumptions: WACC=12%, Terminal growth rate: 2%; Risk-Free Rate of Return (Rf) = 3.6%, Market Risk Premium (Rm - Rf) = 17%, Beta = 0.5)

Naver Corporation

We have valued Naver at a price target of KRW 290,000 based on a DCF valuation method, implying one year forward PER of 19x (Q2 2027-Q1 2028). (DCF assumptions: WACC=12%, Terminal growth rate: 2%; Risk-Free Rate of Return (Rf) = 3.6%, Market Risk Premium (Rm - Rf) = 17%, Beta = 0.5)

Delivery Hero SE

Our PT of €28 is based on a multiple SOTP. We do a valuation by brand. For talabat we use the market value, for other brands we generally use the price paid and apply discounts to reflect mostly the share price decline experienced since the acquisition but also brand specific discounts. For Woowa, we are using the implicit talabat multiple with a 25% discount due to recent operational challenges.

RISKS**Coupang Inc**

Upside risk: Stronger-than-expected top-line growth; end of investment cycle in overseas markets and market share gains; resolution of regulatory risk overhang issues.

Naver Corporation

Downside risk: Weaker-than-expected e-commerce GMV growth; faster-than-expected user engagement decline in the search domain; additional investment in non-core business; government disapproval of the stock swap with Dunamu.

Delivery Hero SE

Downside risk: 1) competitive pressures could mean market share losses and need for marketing spend, 2) cost inflation in absence of revenue growth, rider 3) regulation becoming stricter could harm the logistics side of the business, 4) too many promotions could harm the group's profitability whereas not enough may mean a loss of clients.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

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The Autonomous brand has three categories of preferred stock ratings:

- **Outperform (OP):** The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Neutral (N):** The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Underperform (UP):** The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
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Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

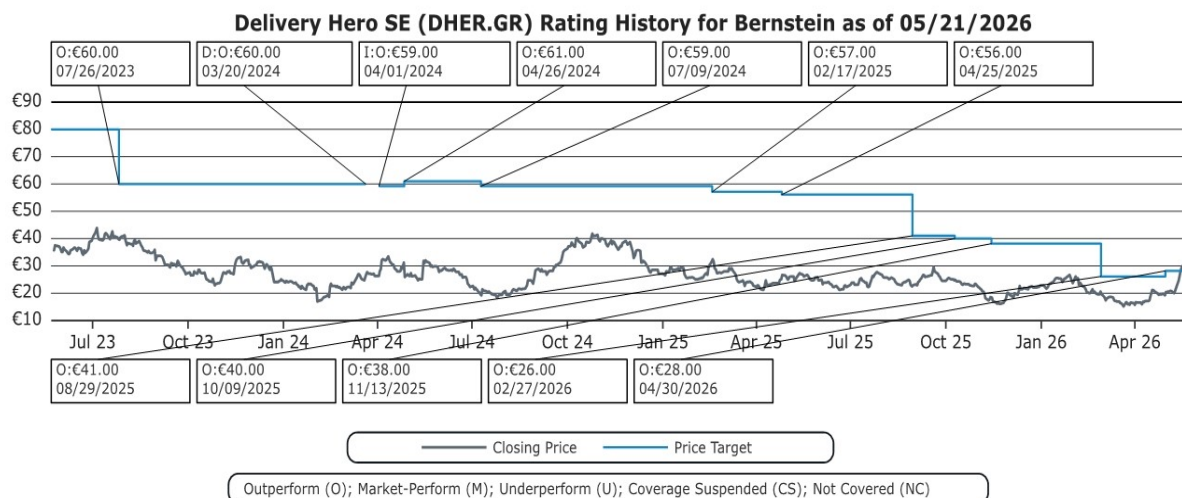
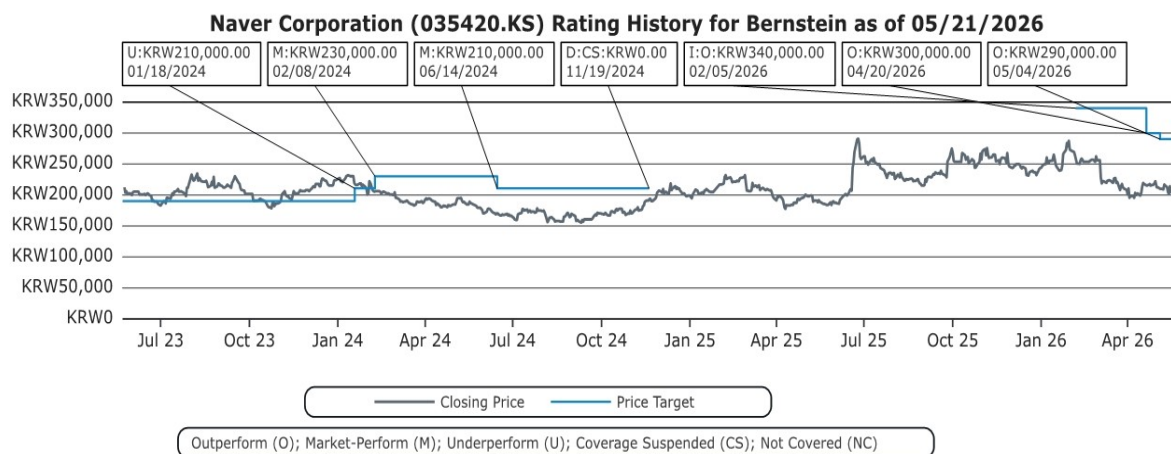
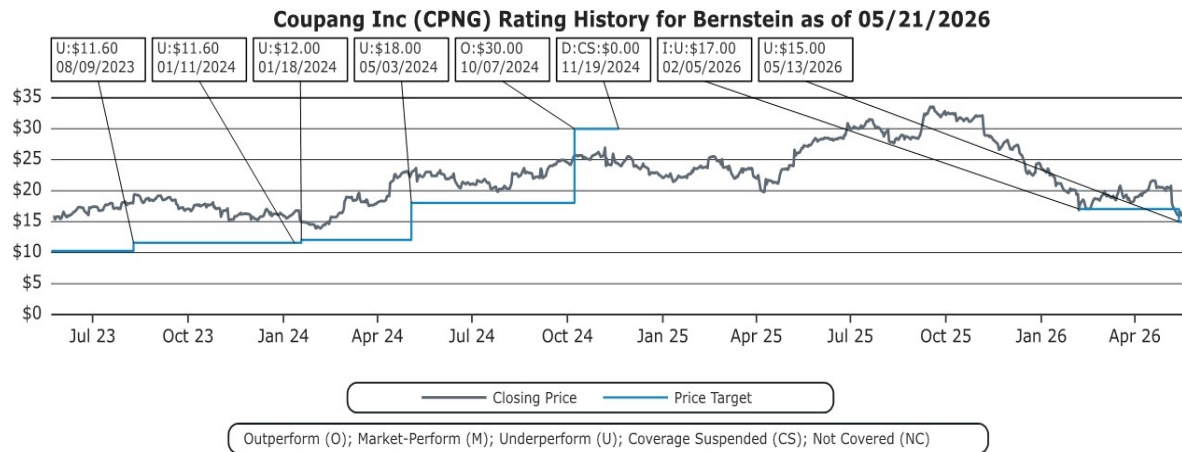
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of March 31, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

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- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
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